

SUPPLIER RISK POLICY

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1. Purpose

Define the corporate method for classifying supplier risk and the governance actions associated with elevated risk.

2. Risk dimensions

Dimension	Examples of evidence	Risk relevance
Operational performance	Repeated SLA failures, capacity instability, recurring service interruption.	Ability to deliver contracted service reliably.
Financial resilience	Material deterioration in financial indicators or inability to sustain required capacity.	Continuity of supply or service.
Compliance and security	Material policy breach, unresolved security finding, regulatory non-compliance.	Enterprise exposure and control effectiveness.
Concentration and continuity	Single-source dependency, limited alternatives, critical-route dependency.	Business continuity exposure.

3. High-risk classification

A supplier is classified as high risk when a material critical-risk event is confirmed, or when the formal risk assessment reaches the enterprise high-risk threshold. Repeated unresolved SLA breaches, a material security/compliance event, or severe continuity exposure may trigger an immediate risk reassessment.

4. Required response

High-risk suppliers require an assigned risk owner, documented mitigation plan, increased review frequency, and an explicit decision on continuation, remediation, contingency, or replacement.

5. Transportation carriers

For carriers, operational performance evidence is provided through the Carrier Management Policy and logistics KPIs. Carrier performance alone does not replace the broader supplier-risk assessment.

6. Review

Risk classification must be reviewed when a material incident occurs, when a mitigation plan expires, or during the scheduled supplier-governance cycle.

Related documents

Carrier Management Policy; Supplier Management Policy; Information Security Policy; applicable supplier contracts.

Document control

Controlled synthetic document generated for the Enterprise Knowledge AI System evaluation corpus.